



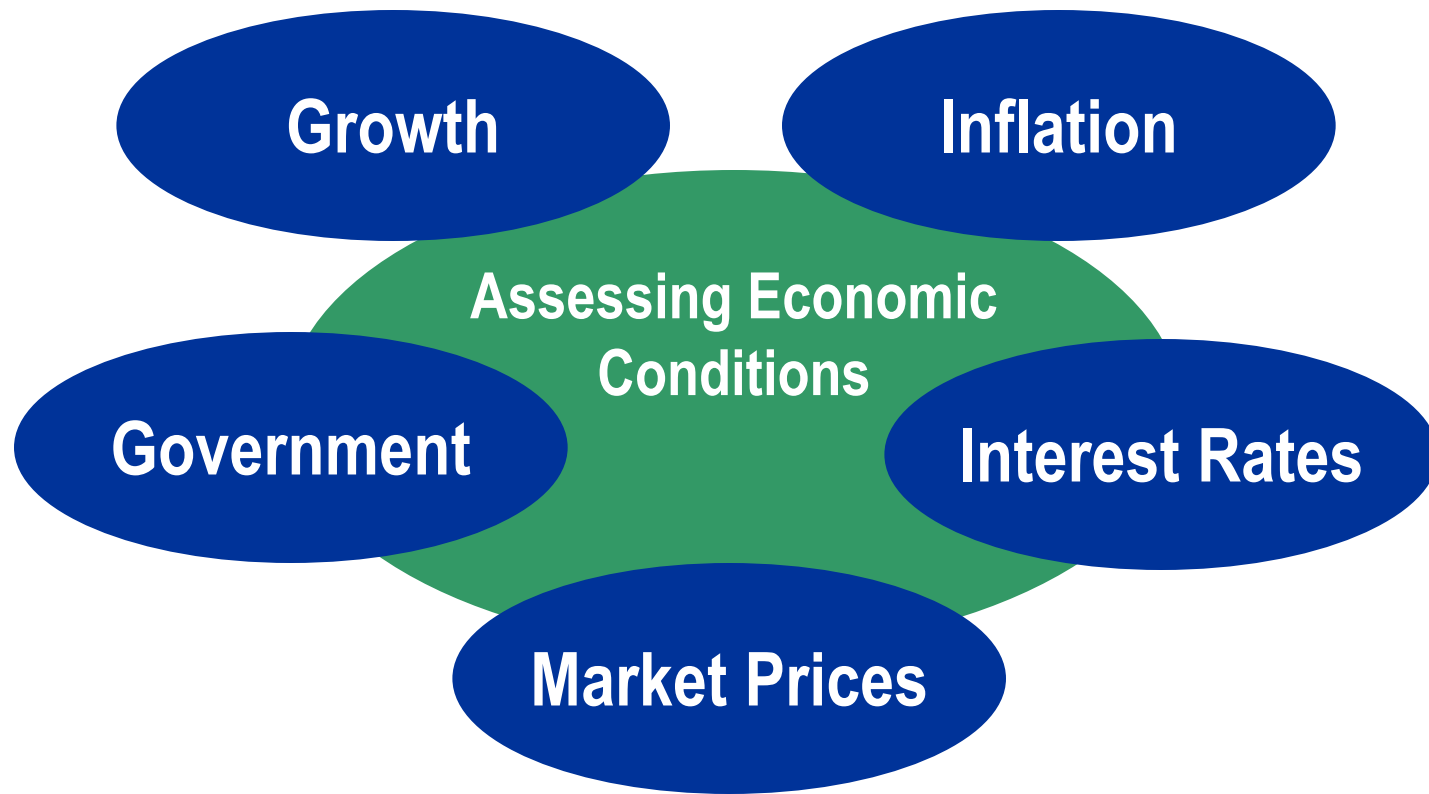
INTRODUCTION
TO BUSINESS 4e

JEFF MADURA

Chapter 3

Assessing Economic Conditions

Learning Objectives



Growth
Inflation
Interest Rates
Market Prices
Government

Economic Growth



Recession



Assessing Economic Conditions

Growth
Inflation
Interest Rates
Market Prices
Government



Growth Indicators

Spending



**Aggregate
Expenditures**

Production



G.D.P.

Growth Indicators

Growth
Inflation
Interest Rates
Market Prices
Government



Assessing Economic Conditions

Growth
Inflation
Interest Rates
Market Prices
Government

Growth Indicators



Growth
Inflation
Interest Rates
Market Prices
Government



Unemployment



Frictional

Seasonal

Cyclical

Structural

Growth
Inflation
Interest Rates
Market Prices
Government

Inflation

\$\$\$\$\$

\$

1995

2005

2025



Growth
Inflation

Interest Rates
Market Prices
Government

Inflation

Inflation rate
通货膨胀率

在前几期的学习中呢



Types of Inflation

Growth
Inflation
Interest Rates
Market Prices
Government



Cost-Push



Demand-Pull

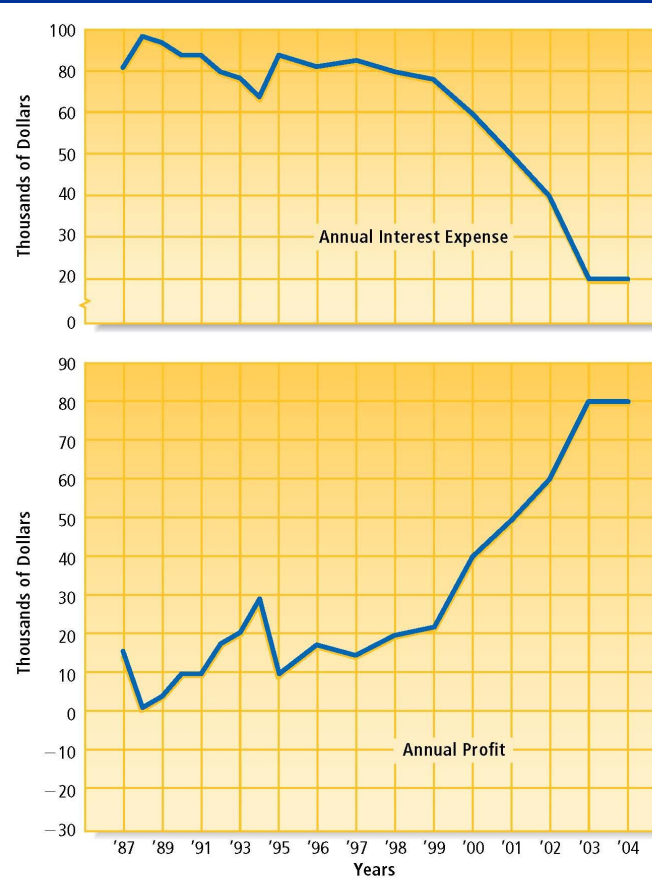


Assessing Economic Conditions

Growth
Inflation
Interest Rates
Market Prices
Government



Interest Rates



Note: Assume that the firm earns \$100,000 in annual profits before paying its interest expense.

Growth
Inflation
Interest Rates
Market Prices
Government



Interest and Revenue



Growth
Inflation
Interest Rates
Market Prices
Government

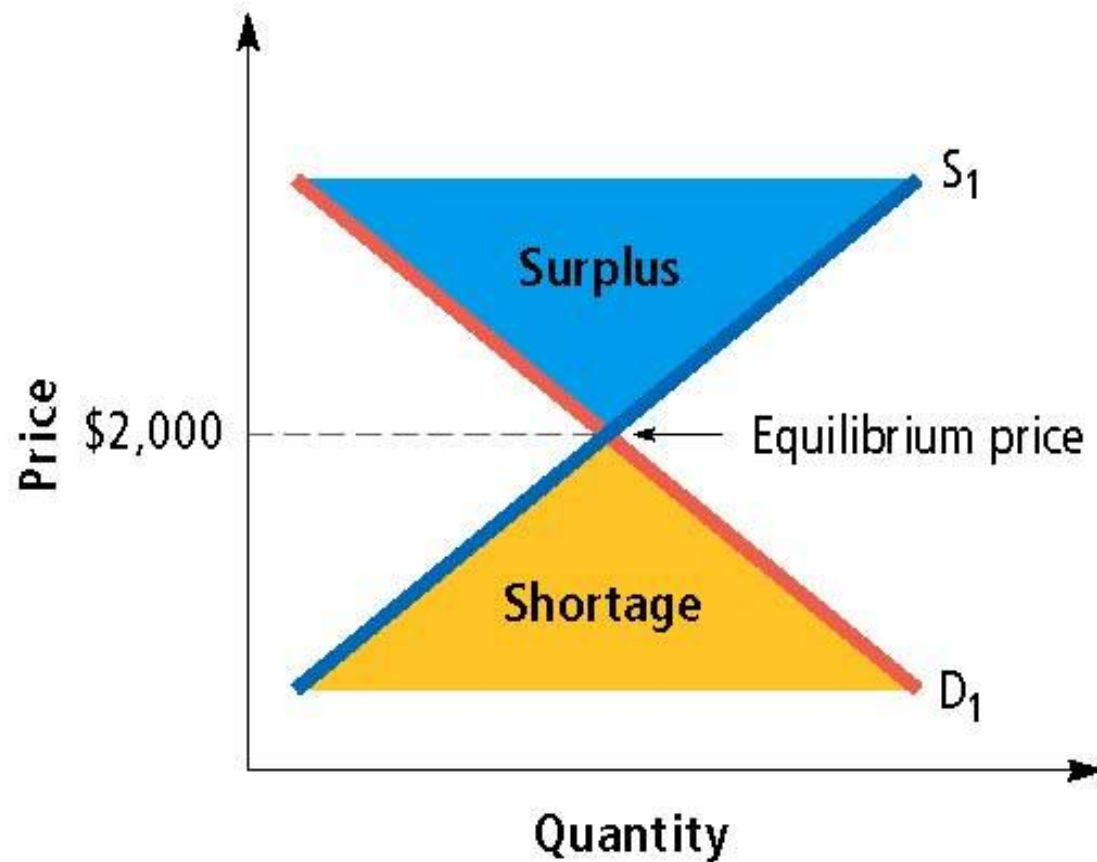


Determining Market Prices

If the Price of a Particular Computer Is:	The Quantity of These Computers Demanded by Consumers Will Be:	The Quantity of These Computers Supplied (Produced) by Firms Will Be:
\$3,000	8,000	30,000
2,500	14,000	24,000
2,000	18,000	18,000
1,500	22,000	16,000
1,000	25,000	10,000

Growth
Inflation
Interest Rates
Market Prices
Government

Determining Market Prices



Growth
Inflation
Interest Rates
Market Prices
Government

Influencing Market Prices



Consumer Income

Consumer Preferences

Production Expenses



Growth
Inflation
Interest Rates
Market Prices
Government

Monetary Policy



Money supply

Interest Rates



Growth
Inflation
Interest Rates
Market Prices
Government



Fiscal Policy

Personal Income Tax

Corporate Tax

Excise Tax

Budget Deficits

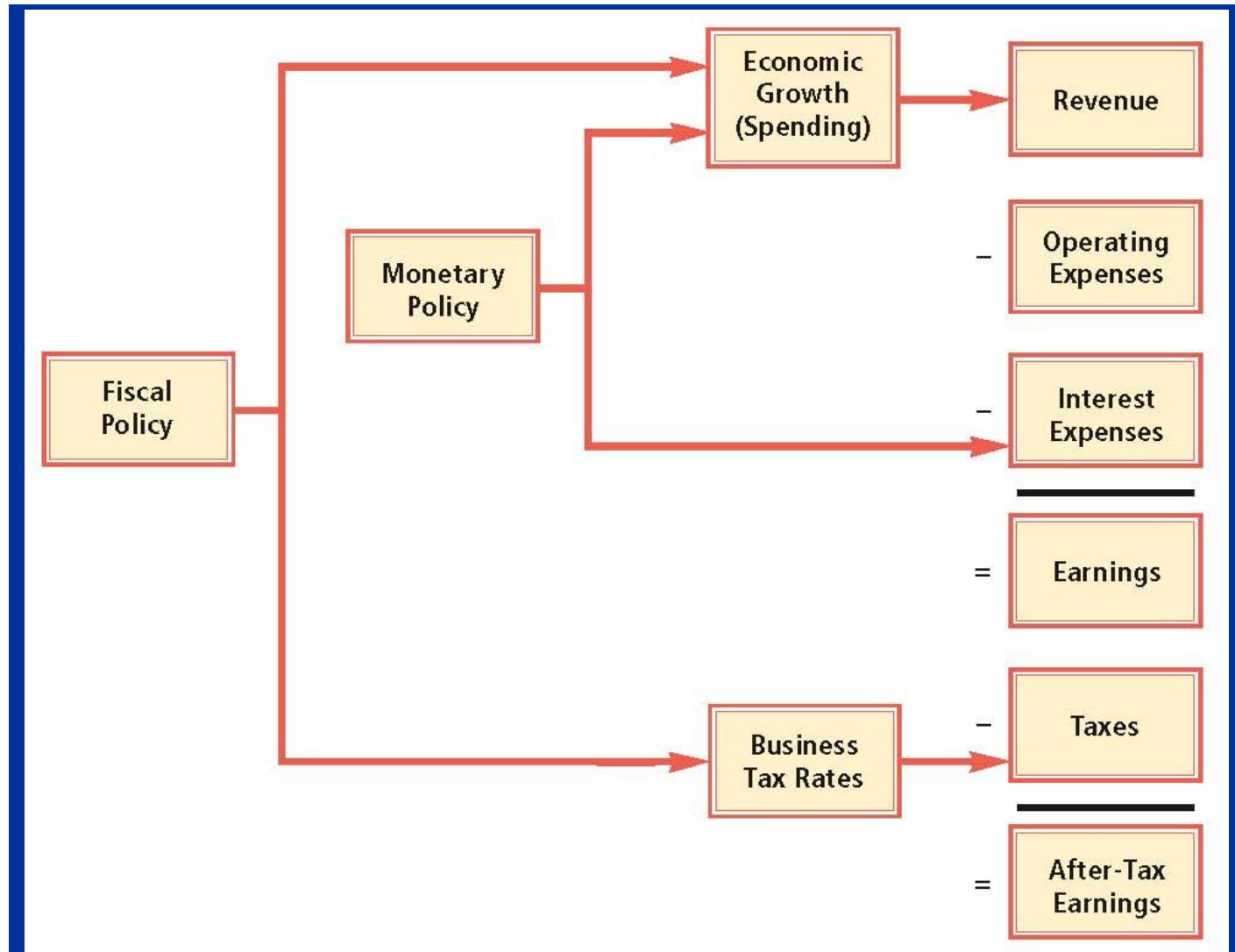


Assessing Economic Conditions

Growth
Inflation
Interest Rates
Market Prices
Government



Government Influence



- Describe the four different types of unemployment and explain which type a college graduate would face upon entering the job market.



- There are four basic types of unemployment. Frictional unemployment represents people who are unemployed because they are between jobs; their unemployment status is temporary. Seasonal unemployment represents people who are unemployed because their services are only needed on a seasonal basis. Cyclical unemployment refers to people who are unemployed because of poor economic conditions, which results in reduced demand for products and services. Structural unemployment occurs when people are unable to find work because they lack adequate work skills.



Assessing Economic Conditions

- The college graduate who is trying to become gainfully employed would be considered frictionally unemployed. The graduate could also be considered structurally unemployed if he lacks the necessary work experience.



- Briefly describe three factors that influence market prices.



Assessing Economic Conditions

- Three major factors that will influence a shift in the demand curve for products or services are consumer income, consumer preferences, and production expenses. The income earned by consumers determines the amount of products and services they can afford to purchase. Income, in turn, is influenced by the rate of economic growth. A high rate of economic growth results in more income for consumers. When the income of consumers rises, they may demand a larger quantity of specific products and services. This increase in demand for goods and services could lead to higher prices. Conversely, during periods of economic decline (recessions) income levels of consumers may decline, and they may demand a smaller quantity of specific products as the result of a decline in their purchasing power.



Assessing Economic Conditions

- When the preferences (or tastes) of consumers for a particular product change, the quantity of that product demanded by consumers may change. When a product becomes less popular, the demand for the product will decline. This causes a surplus and may force firms to lower their price in order to sell what they produce. When the product becomes more popular, the demand for the product will increase, leading to the possibility of higher prices.



Assessing Economic Conditions

- A change in production expenses can also affect equilibrium prices. When firms experience lower expenses, they are willing to produce more at any given price, which results in a surplus of the product, forcing firms to lower their price to sell all that they have produced. When expenses of firms increase, the opposite result occurs.

